STANDARD OPERATING PROCEDURE

Preliminary Contract (PC) Module Administrator & Buyer Guidebook

End-to-End Workflow, Capacity Reservation, Approval Protocols, and Supplier Collaboration

Issued by: PT Mega Perintis Tbk • Procurement & Sourcing Operations
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1. PURPOSE & STRATEGIC FOUNDATION

A **Preliminary Contract (PC)** is the binding commercial instrument through which **PT Mega Perintis Tbk** locks in fabric mill manufacturing capacity, raw material yarn booking, and production lead-times with overseas and domestic textile mills prior to issuing finished garment Purchase Orders (POs).

> **The Golden Manufacturing Rule:**
> A Preliminary Contract authorizes yarn procurement and greige weaving/knitting capacity only. Bulk dyeing, color breakdowns, and finished fabric finishing must proceed strictly against confirmed Purchase Orders (POs) and approved lab dips/shadebands.

Key Business Objectives

- **Lead-Time Protection:** Locks weaving loom space 60–90 days ahead of seasonal garment manufacturing cut dates.
- **Specification Freezing:** Eliminates downstream customs and technical mismatches by locking HS Codes, cuttable width, fabric weight (GSM), and tolerances upfront.
- **Milestone Planning:** Establishes committed FOB/CIF shipment windows aligned with factory cutting schedules.
- **Standard Quality Assurance:** Enforces mandatory internal mill fabric test reports, shadeband submissions, and third-party SGS factory inspections.

2. GOVERNANCE & ROLE-BASED ACCESS

ROLE	PERMISSIONS	KEY RESPONSIBILITIES
Preparer / Merchandiser	Create Draft, Edit Lines, Add Delivery Splits, Configure Clauses, Submit for Approval, Revise.	Inputs vendor terms, searches D365/PLM items, confirms pricing, schedules deliveries, and submits for management approval.
Approver	Review Commercial Terms, Approve with 2FA/TOTP, Reject with Comments.	Validates pricing thresholds, payment terms, and delivery alignment; executes digital signing and freezing.
Fabric Admin / Super Admin	Full Admin Controls, Resend Supplier Email, Regenerate PDF, Manage Master Data & ERP Sync.	Manages HS codes, lots, transport modes, seasons, approver pool, and D365 synchronization feeds.
Fabric Vendor (Supplier)	View Assigned Contracts, Accept Booking, Query Terms, Download Signed PDF.	Reviews technical matrix, confirms manufacturing booking, or submits technical/lead-time queries.

3. STEP-BY-STEP CONTRACT LIFECYCLE

STEP 1 Initializing a Contract

1. Navigate to **Preliminary Contract ? Contracts Register** and click **"+ New Contract"**.
2. Select the **Supplier / Vendor** from the type-to-search dropdown. The system automatically populates the vendor's default currency and payment terms.
3. Fill the Contract Header parameters:
   - **Season:** Select active seasonal catalog (e.g. `FALL'26`, `FESTIVE'26`).
   - **Fabric Type:** Enter fabric category (e.g. Woven Cotton Twill, CVC Knits, Denim).
   - **Currency & Payment Term:** USD, CNY, EUR, or IDR; select verified terms (e.g. *LC 60 Days*, *TT 30 Days*).
   - **Delivery Term (Incoterm):** FOB, CIF, CNF, EXW.
   - **Mode of Transport:** Sea Freight, Air Freight, Land Logistics.

STEP 2 Specifying Fabric Line Items & Technical Attributes

1. Click **"+ Add Line"** to create a fabric specification row.
2. **Item Lookup / PLM Ref:** Enter or search the item number. The system auto-completes available descriptions and construction matrices.
3. **HS Code:** Assign an 8-digit tariff code (e.g. `5407.69.90`).
4. **Lot & Batch:** Select the production lot code (e.g. `1-2`, `3-4`).
5. **Cuttable Width & Weight:** Specify minimum usable width (e.g. `57/58"`) and density (e.g. `180 GSM`).
6. **Booking Volume & Pricing:** Enter quantity (YDS/MTR) and unit purchase price. Default tolerance is set to ±5.00%.

STEP 3 Milestone Delivery Scheduling

Under the **Fabric Delivery Schedule** section, define when the mill must have goods FOB/CIF ready. Click **"+ Add Delivery Split"** to schedule staggered partial shipments. The system validates that total delivery splits reconcile with contracted line volumes.

STEP 4 Standard Clauses & Factory Requirements

The module automatically preloads PT Mega Perintis standard booking terms (Clauses 1–9). Critical operational constraints (e.g. Clause 1 yarn booking limitation, Clause 3 test reports, Clause 4 SGS inspection) are highlighted. Preparers can click **"+ Add Clause"** to append factory-specific requirements (e.g. OEKO-TEX Standard 100, shrinkage thresholds).

STEP 5 Submission & Internal Approval

1. Click **"Save Draft"** at any point to save work.
2. Once validated, click **"Submit for Approval"**. The contract enters `Awaiting Approval`.
3. An authorized Approver reviews commercial pricing, delivery feasibility, and tolerance rules.
4. Upon approval, the system:
   - Freezes contract notes, delivery schedules, and header snapshots into audit tables.
   - Generates the tamper-evident **Official Contract PDF** with digital approval stamps.
   - Transitions status to `Approved (Ready to Send)`.

STEP 6 Dispatching to Vendor & Resend Controls

1. Open the approved contract and click **"Send to Supplier"**.
2. The system verifies that the vendor has an active portal account and dispatches an **APAC Enterprise Standard Email Notification** with the official PDF contract attached.
3. **Resend Email:** If the supplier requests another copy or updates merchandiser contacts, click the **"Resend Email"** button on the toolbar to re-dispatch the email and PDF attachment with full audit logging.

4. MANAGING VENDOR RESPONSES

Scenario A: Vendor Accepts Contract

- The vendor clicks **"Accept Contract"** in the Vendor Portal.
- The contract status updates immediately to `Confirmed`.
- The official PDF is updated with the bilateral vendor signature stamp and timestamp.
- The procurement team may now allocate style cutting and issue final Purchase Orders (POs).

Scenario B: Vendor Queries Contract

- If the mill has an MOQ issue, raw yarn delivery delay, or technical discrepancy, they click **"Query Contract"** and submit detailed remarks.
- The contract status transitions to `Vendor Queried`.
- The buyer evaluates the query. If adjustments are agreed upon, the buyer initiates a **Revision**.

5. CONTRACT REVISION PROTOCOL (REV WORKFLOW)

In accordance with international procurement audit standards, active or approved contracts cannot be silently modified. To adjust terms:

1. Open the contract and click **"Revise"**.
2. Enter the official justification (e.g. *Mill requested 2-week FOB extension due to yarn spinning holiday*).
3. The system creates a new revision linked to the parent contract, updates the reference to `... (REV)`, and safely marks the prior version as `Superseded`.
4. The revised contract is resubmitted for approval, ensuring full historical transparency.

6. MASTER DATA MAINTENANCE & SETTINGS

Under **Preliminary Contract ? Master Data & Settings**, administrators maintain essential lookup catalogs:

- **HS Codes:** International customs codes used for export declaration and Indonesian customs clearance.
- **Lots:** Standardized production batch categories.
- **Terms of Delivery (Incoterms):** FOB, CIF, CFR, EXW lookup records.
- **Mode of Transport:** Sea Freight, Air Freight, Land Transport definitions.
- **Seasons:** Active merchandising seasons; closed seasons restrict new draft bookings.
- **Approver Pool:** Comma-separated email list authorized to approve Preliminary Contracts.

> **Audit Trail Integrity:**
> Every action (creation, edit, approval, rejection, supplier dispatch, email resend, vendor acceptance, query, revision, and cancellation) is logged permanently in `pc_audit_logs` with user email, timestamp, IP address, and change remarks.